

----- Forwarded by Melba Lozano/HOU/ECT on 12/13/2000 01:26 PM -----

Dale Neuner
12/13/2000 01:24 PM
To: Melba Lozano/HOU/ECT@ECT
cc:
Subject: Re: Internal FX trades on EOL

Please send this to Sara; it should help jog her memory that Janine has put this issue to rest. Pay particular attention to the last paragraph in Janine's message.

Dale

----- Forwarded by Dale Neuner/HOU/ECT on 12/13/2000 01:20 PM -----

Dale Neuner
11/17/2000 10:42 AM
To: Janine Juggins/LON/ECT@ECT
cc: Susan Musch/ENRON_DEVELOPMENT@ENRON_DEVELOPMENT, Robert B Cass/HOU/ECT@ECT, Melba Lozano/HOU/ECT@ECT
Subject: Re: Internal FX trades on EOL

I think we're there. We've drafted some language for Sara to review and are waiting for the commercial group to give us the trading times, then we should be done.

Melba Lozano is following up and handling the product development.

Dale

Janine Juggins
11/16/2000 10:45 AM
To: Dale Neuner/HOU/ECT@ECT
cc: Susan Musch/ENRON_DEVELOPMENT@ENRON_DEVELOPMENT
Subject: Internal FX trades on EOL

haven't heard anything since this mail was sent, so just checking whether you needed any more information/explanation

Regards

Janine

----- Forwarded by Janine Juggins/LON/ECT on 16/11/2000 16:45 -----

Janine Juggins
10/11/2000 17:16
To: William Stuart/HOU/ECT@ECT
cc: Dale Neuner/HOU/ECT@ECT, Susan Musch/ENRON_DEVELOPMENT@ENRON_DEVELOPMENT, Sara Shackleton/HOU/ECT@ECT, Shane Dallmann/LON/ECT@ECT
Subject: Internal FX trades on EOL

William,

I work in the London tax group and Dale has asked me to send a few lines to explain the position with respect to the internal FX products to be offered via EOL.

1. The internal FX products offered by the FX desk in London will be offered by RMT acting through the UK regulated agent EEFT. The activities of the FX desk in London are currently covered by a services agreement between EEFT and ENA (this will be extended to include RMT for internal trades).
2. The internal FX products offered by the FX desk in Tokyo will need to be offered by Enron Japan Corp KK. Note that Enron Japan Corp KK will then back the transactions into RMT, leaving a spread in Enron Japan Corp KK of 2.5bps.

A couple of comments on the difference in structure between Tokyo and London

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we established that a services agreement structure would not be acceptable for Japanese tax purposes. This is why we are recommending a back to back structure using Enron Japan Corp KK. We pushed the Japanese tax advisors very hard on this point, because this structure will also be needed for external trades - there are a number of knock on effects, such as potentially increased credit costs, more ISDAs (since external parties dealing with Tokyo will be dealing with Enron Japan Corp KK and not ENA).

because this is a cross border transaction the spread left in Japan needs to approximate the spread which would be earned by an unrelated party executing similar transactions - the spread of 2.5bps was provided to us by Enron Japan based on their review of market spreads. Note it should be possible to ensure that this spread rolls up to Global Markets for management reporting purposes, whilst leaving it in Japan for financial and legal purposes.

I can therefore confirm that for Tax all remaining questions have now been addressed, so there is no reason for further delay from our side. If you need to discuss the above further please call me in the office on 44 207 783 5326 or on my mobile 44 77 88 43 71 95.

Regards
Janine